

Nike, Inc.
Valuation Report

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Table of Contents

1. Introduction 3

2. Valuation Approach 3

3. DCF Assumptions 4

4. Relative Valuation and Comparable Companies 4

A) Summary of company selection 5

B) Rationale behind selected multiples 6

5. Sensitivity Analysis on Key Drivers 7

A) WACC and Terminal Growth Rate Sensitivity 7

B) Monte Carlo Simulation - Management Initiatives 8

6. Scenario Analysis 9

A) As-Is: $45.68 (-13% vs current price) 9

B) Management Initiatives: $69.05 (+32% vs current price) 9

C) Activist Consensus: $67.31 (+28% vs current price) 10

D) Scenario Comparison 10

7. Conclusion 11

1. Introduction

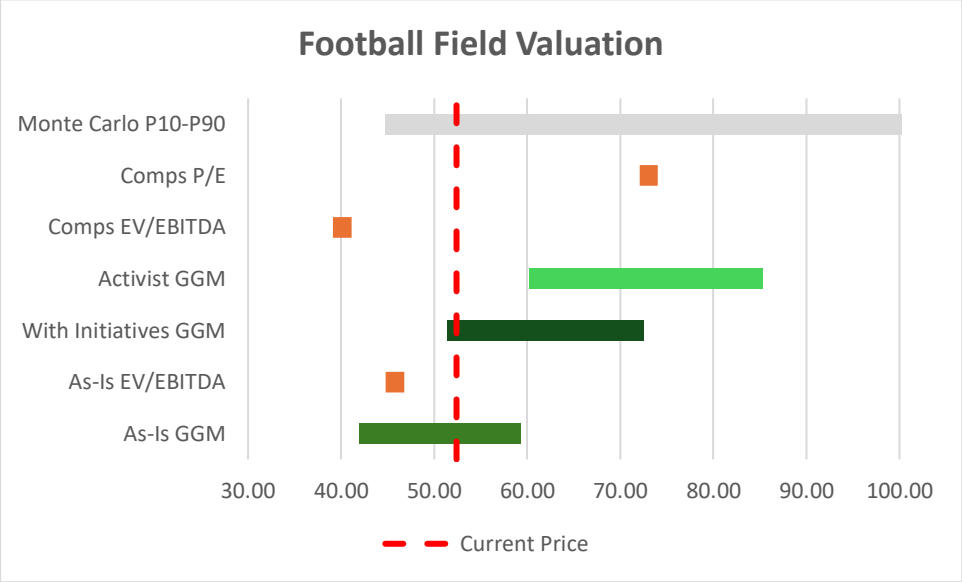
Building on the strategic and financial analysis presented earlier, this report presents a comprehensive valuation of Nike, Inc. as of March 2026. The valuation is conducted across three scenarios: *As-Is*, *Management Initiatives*, and *Activist Consensus*; and is supported by an accompanying financial model. Results are expressed as implied share prices and benchmarked against the current market price of $52.4.

2. Valuation Approach

Nike is valued using a Discounted Cash Flow (DCF) model as the primary method, cross-checked against comparable multiples company analysis developed separately.

The DCF is the appropriate primary tool for three reasons. First, Nike generates predictable, large-scale free cash flows that are well-suited to explicit forecasting. Second, the valuation question is fundamentally about whether the market is correctly pricing Nike's *recovery path*- a multiple-based approach anchors to today's depressed earnings and obscures the scenario differentiation we are trying to capture. Third, the activist context demands a forward-looking framework: the value of Elliott's intervention is not visible in trailing multiples but in the probability-weighted improvement to future cash flows.

The three scenarios: *As-Is*, *Management Initiatives* (Win Now), and *Activist Consensus*, are all sharing an identical FY2026E consensus base (FactSet, March 2026) and diverging from FY2027 onwards. A single WACC of 8.43% is applied across all three scenarios: risk is captured in the cash flows, not the discount rate. The explicit forecast period runs FY2027-FY2031, with a five-year structure comprising three fully modelled years and two bridge years that smooth the transition to terminal value. Terminal value is computed using the Gordon Growth Model and cross-checked with an EV/EBITDA exit multiple applied to FY2031 EBITDA.



The central thesis is that Nike at $52.4 is priced for a recovery that requires no catalyst. The *As-Is* scenario, representing drift without strategic intervention, implies a share price of $45.68, a 13% downside to the current price. Both the *Management Initiatives* ($69.05) and *Activist Consensus* ($67.31) scenarios imply meaningful upside but require deliberate execution of operational and

strategic changes currently underway or under negotiation. The football field and Monte Carlo simulation quantify the uncertainty around these outcomes.

3. DCF Assumptions

Revenue. Revenue is forecast bottom-up across three channels- Wholesale, Nike Direct (DTC), and Other- with an additional China-specific adjustment layer. Channel weights are fixed at FY2026E consensus levels (Wholesale *58.2%,* DTC *37.4%,* Other *4.4%*, China *12.1%* of total), with growth rates differentiated by scenario from FY2027. The FY2026E revenue base of $46,713mm is anchored to FactSet consensus and held identical across all scenarios.

Margins. Gross margin is forecasted to recover progressively from the FY2026E trough of 40.8%, driven by inventory normalisation, reduced markdowns, and channel mix improvement. EBIT margin forecasts reflect the gross margin recovery net of SG&A trajectory, including a World Cup-related Demand Creation spike in FY2027. The tax rate is held flat at 17.1% across all scenarios and years, reflecting the FY2025 effective rate (FY2024's 14.9% excluded as anomalous).

Capital expenditure and D&A. Capex is forecast at $800–900mm in absolute terms for *As-Is* and *Management Initiatives* scenarios, reflecting a normalization from the FY2026E consensus ramp of $891mm. D&A is held at approximately 1.66% of revenue, consistent with the FY2025 actual. Terminal capex converges toward D&A, implying zero net investment in steady state.

Working capital. Inventory is modelled via Days Inventory Outstanding (DIO) targets rather than as a percentage of revenue, with Inventory = DIO × COGS / 365. The FY2026E DIO of around 100 days- still elevated versus the pre-crisis norm of 90 days (on average)- is the starting point for scenario-specific normalization paths. Non-inventory NWC (receivables, payables, other) is modelled as a percentage of incremental revenue.

WACC. A single WACC of 8.43% is applied across all three scenarios. Nike's capital structure was based on market values as of March 2026, where equity represents 87.6% of total capital ($78B market capitalization from $52.4 per share 1487.6mm shares) and debt at 12.4% ($11B total financial debt- which excludes operating leases, at book value). This reflects a Blume-adjusted beta of 1.044, a risk-free rate of 3.92% (US 10-year minus default spread), a mature market ERP of 4.23% (Damodaran, January 2026), a revenue-weighted country risk premium of 0.63%, and an after-tax cost of debt of 3.13%. Scenario risk is captured entirely in the cash flows; using a scenario-specific discount rate would double-count risk.

Explicit forecast period and terminal value. The explicit forecast runs FY2027-FY2031. FY2027-2029 are fully modelled years; FY2030-2031 are bridge years where FCFF growth transitions smoothly from the FY2029 rate to the terminal growth rate, avoiding a mechanical step-change into perpetuity. Terminal value is computed using the Gordon Growth Model applied to FY2031 FCFF, cross-checked with an EV/EBITDA exit multiple applied to FY2031 EBITDA. Terminal value represents approximately 76-78% of enterprise value across scenarios- a healthy ratio given the five-year explicit period. Enterprise value is bridged to implied equity value by deducting net debt of $1,870mm (FY2025 actual: $11,021mm total financial debt less $9,151mm cash and marketable securities) and dividing by 1,487.6mm diluted shares outstanding, consistent across all three scenarios.

4. Relative Valuation and Comparable Companies

The comparable multiples valuation is built around two distinct peer groups, each reflecting a different lens through which Nike's value can be assessed.

The first group is composed of direct industry competitors, companies operating in the same athletic apparel and footwear market, sharing overlapping customer segments, distribution channels, and competitive dynamics. This group includes **Adidas**, **Lululemon**, and **On Running**.

The second group takes a broader perspective and aims to answer the following question:

Will Nike remain a "Brand power"?

Rather than competing products, what these peers share with Nike is a demonstrated ability to command premium valuations through brand loyalty, pricing power, and cultural relevance. This group includes Apple and Starbucks. The rationale behind the selection of each company is detailed in the sections below.

A) Summary of company selection

Among direct competitors, **Adidas** is the essential anchor, the only peer competing with Nike across brand positioning, channel strategy, and global scale simultaneously. Its structurally higher gross margins (48-50% vs. Nike's 42.7%) and rapidly converging asset efficiency make it the most relevant operational benchmark, while its depressed 8.56x EV/EBITDA defines the valuation floor if Nike's turnaround fails to materialize.

Lululemon serves as a discipline check rather than a direct mirror: its 58% gross margins and 42.42% ROE represent the DTC-native profile Nike is explicitly targeting, yet it trades at just 6.22x EV/EBITDA and 13.06x P/E, forcing the critical question of whether Nike's premium is justified or overstated.

On Running, with 32.3% revenue growth in 2024, quantifies the cost of Nike's strategic neglect in performance footwear. Its high-growth multiple illustrates what the market rewards when a brand leads on product innovation, and together with Lululemon, it brackets the valuation range Nike could plausibly occupy as the turnaround matures.

Beyond the industry, **Starbucks** is the most structurally comparable peer at this moment in Nike's cycle, both are navigating brand rehabilitation, margin compression from reinvestment costs, and an intensifying battle for relevance in China. **Apple** defines the ceiling: Nike's China segment already generates $4.30 in revenue per dollar of physical infrastructure, an efficiency profile closer to a platform than a retailer. If Nike's membership ecosystem scales, Apple's 31.5x P/E multiple becomes the legitimate reference for what a brand-led consumer platform command.

Together, these five peers produce a valuation range that is analytically complete: a bear case, a stress test, a growth benchmark, a turnaround proxy, and an aspirational ceiling.

B) Rationale behind selected multiples

EV/EBITDA: The Bear Case ($46.17)

EV/EBITDA strips away capital structure and depreciation noise, making it the cleanest operational benchmark, but here it produces the most conservative output. The peer average of 15.76x is pulled down significantly by Adidas (8.56x) and Lululemon (6.22x), both priced as mature businesses with limited growth premium, which drags Nike's implied price to $46.17, below its current trading level. This is the downside scenario: it prices Nike as if the turnaround stalls and the market re-rates it toward conventional sportswear peers.

EV/Sales: The Bull Case ($107.08)

EV/Sales serves as a brand premium stress test rather than a pricing tool. The peer average of 3.48x is materially inflated by Apple, On Holdings, and Starbucks, businesses valued on ecosystem loyalty and growth momentum, yielding an implied price of $107.08. This represents a valuation ceiling, not a baseline, as EV/Sales ignores profitability entirely and would mechanically overstate Nike's intrinsic value given its currently compressed margins.

P/E Ratio: The Expected Case ($72.07)

The P/E is our primary multiple because the central question of this report is not whether Nike generates revenue, but whether it commands a "brand premium". At 33.31x peer average EPS of $2.16, the implied price of $72.07 reflects a market that believes in the turnaround. This average is grounded across five structurally distinct peers, from Apple and Starbucks validating ecosystem premiums, to Adidas and Lululemon moderating the output downward. As management, anchoring on the P/E is both analytically justified and strategically consistent with our thesis: Nike is not a commodity sportswear manufacturer, and its valuation should not be treated as one.

FY2025	Multiple Valuation		
Company Name	**EV/EBITDA**	**EV/ Sales**	**PE ratio**
Apple	23,84x	8,37x	31,50x
Adidas	8,56x	1,30x	18,74x
On holdings	20,12x	3,38x	53,58x
Lululemon	6,22x	1,53x	13,06x
Starbucks	20,06x	2,82x	49,66x
Average	**15,76x**	**3,48x**	**33,31x**

Nike - Implied Multiple Valuation

*using average multiples

Using PE ratio	
Nike's 2025 Net income (in $M)	3 219,0
# of Shares outstanding (in $M)	1487,60
EPS	2,2
P/E multiple	33,3x
Estimated share price	**$ 72,07**

Using EV/EBITDA	
Nike's 2025 EBITDA (in $M)	4 477,0
EV/EBITDA multiple	15,8
Estimated Nike's EV (in $M)	70 553,6
Excess cash	**$ -**
Net debt (or Book value of debt)	- 1 870,0
Nike's Equity Value	68 683,6
Shares	1 487,6
Estimated Market share price	**$ 46,17**

Using EV/Sales	
Nike's 2025 Sales (in $M)	46 309,0
EV/Sales multiple	3,5
Estimated Nike's EV (in $M)	161 155,3
Excess cash	**$ -**
Net debt	- 1 870,0
Nike's Equity Value	159 285,3
Shares	1 487,6
Estimated Market share price	**$ 107,08**

C) Precedent Transactions

Precedent M&A transaction multiples were considered but it was decided to exclude them from the primary valuation framework. The lack of directly comparable public transactions in global athletic footwear and apparel at Nike's scale makes benchmarking unreliable: the most relevant reference points include Nike's own acquisition of Converse in 2003 (around 1.0x EV/Sales, pre-brand-premium era) and Adidas's liquidation of Reebok to Authentic Brands Group in 2021 (0.5x EV/Sales, distressed disposal), both reflect structurally different strategic contexts that would skew any implied multiple downward. More recent transactions in adjacent categories, such as LVMH's stake-building in On Running, involve minority positions at growth-stage premiums that are not transferable to a mature, large-cap turnaround. Due to this absence of transactions replicating Nike's brand position, channel complexity, and current operational cycle, precedent multiples would bring noise to the analysis rather than precision. Overall, the comparable company multiple analysis, anchored to the five public peers, provides a more reliable cross-check to the DCF.

5. Sensitivity Analysis on Key Drivers

A) WACC and Terminal Growth Rate Sensitivity

The table below presents implied share prices across a range of WACC (7.0% to 10.0%) and terminal growth rate assumptions (2.0% to 4.0%) for each scenario. The base case for each scenario is highlighted- WACC 8.4%, g as per the scenario-specific terminal growth assumption.

WACC ↓ / g →						
As-Is						
45.68	**2.0%**	**2.5%**	**3.0%**	**3.2%**	**3.5%**	**4.0%**
7.0%	53.98	59.55	66.51	69.81	75.46	87.39
7.5%	48.97	53.49	59.00	61.57	65.90	74.76
8.0%	44.80	48.52	53.00	55.04	58.46	65.29
8.4%	41.93	45.16	**48.99**	50.73	53.60	59.26
9.0%	38.24	40.89	43.99	45.37	47.64	52.03
9.5%	35.62	37.89	40.52	41.69	43.59	47.21
10.0%	33.32	35.30	37.55	38.55	40.16	43.20
Management Initiatives						
69.05	**2.0%**	**2.5%**	**3.0%**	**3.2%**	**3.5%**	**4.0%**
7.0%	66.08	72.88	81.37	85.39	92.29	106.85
7.5%	59.96	65.47	72.21	75.34	80.62	91.44
8.0%	54.87	59.42	64.87	67.38	71.54	79.88
8.4%	51.37	55.31	**59.99**	62.11	65.62	72.53
9.0%	46.86	50.10	53.88	55.57	58.34	63.70
9.5%	43.66	46.44	49.65	51.08	53.39	57.82
10.0%	40.86	43.27	46.02	47.24	49.20	52.91
Activist Consensus						
67.31	**2.0%**	**2.5%**	**3.0%**	**3.2%**	**3.5%**	**4.0%**
7.0%	77.59	85.63	95.69	100.45	108.61	125.85
7.5%	70.36	76.88	84.85	88.55	94.81	107.61
8.0%	64.33	69.71	76.17	79.13	84.07	93.94
8.4%	60.19	64.86	**70.39**	72.91	77.06	85.24
9.0%	54.87	58.70	63.17	65.17	68.45	74.80
9.5%	51.08	54.37	58.17	59.86	62.60	67.84
10.0%	47.77	50.62	53.89	55.32	57.65	62.04

As-Is (base: $45.68). The implied price ranges from $33 at the most conservative end (WACC 10%, g 2.0%) to $87 at the most optimistic (WACC 7%, g 4.0%). At the base case, a 50bps increase in WACC reduces the implied price by approximately $4; a 50bps decrease in terminal g reduces it by approximately $3. The current market price of $52.4 is only reached under relatively favourable assumptions- WACC below 8% paired with g above 3.0%- reinforcing the As-Is thesis that the stock is overpriced absent a catalyst.

Management Initiatives (base: $69.05). The range spans $41 to $107, reflecting the larger cash flow base amplifying the sensitivity to discount rate and growth assumptions. The current price of $52.4 is exceeded across virtually the entire table, confirming that Management Initiatives delivers upside under almost any reasonable parameter combination. Even at WACC 10% and g 2.0%, the implied price of $41 is only modestly below current levels.

Activist Consensus (base: $67.31). The range spans $48 to $126. The wider upper range relative to Management Initiatives reflects the more aggressive revenue and margin assumptions generating a larger terminal cash flow base. Sensitivity to terminal g is accordingly higher- the spread between g 2.0% and g 4.0% at base WACC is approximately $25, versus $21 for *Management Initiatives* and $18 for *As-Is* scenarios.

Across all three scenarios, WACC is the dominant sensitivity driver, consistent with the elevated share of terminal value in enterprise value (76-78%).

B) Monte Carlo Simulation - Management Initiatives

To complement the deterministic sensitivity table, a Monte Carlo simulation was run on the Management Initiatives scenario over 1,000 iterations. Three variables are treated as stochastic: EBIT margin FY2029, terminal growth rate, and WACC. These are drawn jointly using Cholesky decomposition to preserve their economic correlations- EBIT margin and terminal g are positively correlated ($\rho = 0.40$), reflecting that stronger operational execution supports higher long-run growth; EBIT margin and WACC are mildly negatively correlated ($\rho = -0.20$), as higher profitability reduces perceived financial risk. All other inputs are held at their base case values.

The resulting distribution has a mean implied price of approximately $67, a median of $65, and a P10-P90 range of roughly $44-$99. The probability that the *Management Initiatives* scenario yields a price above the current market price of $52.4 is approximately 75%, and the probability of exceeding $69 (the base case) is around 50%.

The simulation confirms that the *Management Initiatives* upside is robust- it is not dependent on a narrow combination of assumptions but holds across a wide range of plausible inputs. The primary downside tail arises from scenarios where EBIT margin recovery stalls below 11% simultaneously with a WACC above 9%, a combination that is economically coherent but operationally unlikely given the changes already implemented under Elliott Hill.

6. Scenario Analysis

All three scenarios share an identical FY2026E base, revenue $46,713mm, gross margin 40.8%, EBIT margin 6.1%, anchored to FactSet consensus as of March 2026. Scenario differentiation begins FY2027 and reflects distinct assumptions about the pace and ambition of Nike's operational recovery.

A) As-Is: $45.68 (-13% vs current price)

Narrative:

Nike drifts. Elliott Hill's appointment stabilises the organisation, but no decisive strategic catalyst materialises. The wholesale channel recovers modestly as retail partners cautiously re-engage, but the DTC rebuild stalls. China continues to lose share to Anta and Li-Ning through FY2027 before stabilising. Without a structural intervention, Nike's cost base remains elevated and margin recovery is gradual.

Key assumptions:

- Revenue CAGR FY2027–29: ~2%, driven by modest wholesale recovery (+4% p.a.) offset by continued DTC contraction (−3% in FY2027) and China headwinds
- EBIT margin: recovers from 6.1% to 10.5% by FY2029 — a return to pre-crisis lows, not the peak
- DIO: gradual normalisation from 100 to 90 days by FY2029
- Terminal g: 2.6%, reflecting category tailwinds without meaningful share recovery

Conclusion:

At $45.68, the As-Is scenario implies the stock is 13% overpriced at $52.4. This is the activist's entry thesis: the market is pricing in a recovery that requires a catalyst Nike has not yet demonstrated.

B) Management Initiatives: $69.05 (+32% vs current price)

Narrative:

Elliott Hill's Win Now strategy is executed in full. Nike re-engages wholesale partners aggressively, rebuilds DTC quality over quantity, and invests heavily in brand relevance, most visibly through a +15% Demand Creation spike in FY2027 coinciding with the FIFA World Cup. China recovers along a trajectory comparable to Adidas's post-Xinjiang rebound, with meaningful share recovery beginning FY2028. This is management's own plan, executed without external pressure on specific targets.

Key assumptions:

- Revenue CAGR FY2027–29: ~6%, led by wholesale recovery (+8%/+7%/+5%) and DTC rebuilding (+5%/+6%/+5%); China bumper +3%/+6%/+5%
- EBIT margin: 11.0% → 12.5% → 13.8% by FY2029, approaching the FY2024 peak of 13.1%; gross margin reaches 45.5%
- DIO: aggressive rationalisation to 83 days by FY2029, the best execution path
- Terminal g: 2.8%, reflecting sustained share gains and category growth

Conclusion:

At $69.05, Management Initiatives represents the full value of a credible, self-directed turnaround. The premium over the Activist scenario reflects a key judgment: management's organically executed plan is more sustainably compounding than a set of externally-negotiated targets priced for near-perfect delivery.

C) Activist Consensus: $67.31 (+28% vs current price)

Narrative:

Elliott Management's intervention produces a negotiated set of operational targets agreed between the activist and Nike's management. The revenue recovery is more aggressive in the near term than Management Initiatives, reflecting committed channel growth rates, but the margin targets are externally imposed and operationally ambitious, leaving less room for error. A Converse carve-out process is acknowledged as a portfolio tail to be managed. This scenario is explicitly priced for execution; any shortfall on the agreed metrics compresses the implied value meaningfully.

Key assumptions:

- Revenue CAGR FY2027–29: ~6%, with front-loaded channel commitments — wholesale +8%/+6.5%/+5%, DTC +5.5%/+7%/+5%; China bumper conservative at 0%/+1%/+2%
- EBIT margin: 11.3% → 12.9% → 14.6% by FY2029 — the highest of the three scenarios, driven by externally agreed COGS (54.7%) and SG&A (30.7%) targets
- Capex: formula-linked to revenue at 1.9%/2.4%/2.1%, reflecting committed investment levels
- DIO: 90 → 87 → 85 days; agreed activist target of 85 days by FY2029
- Terminal g: 2.7%

Conclusion:

At $67.31, Activist Consensus implies slightly less value than Management Initiatives despite higher near-term margins. The discount reflects two factors: a lower terminal multiple (12.5x vs 13.5x), acknowledging that externally-driven restructuring carries greater execution risk and is less sustainably compounding; and a more conservative terminal g. The scenario justifies activist engagement but makes clear that the value creation hinges entirely on delivery against agreed metrics.

D) Scenario Comparison

The management initiatives and activist consensus scenarios share the same strategic direction but differ in origin. Management Initiatives reflects Nike's self-directed plan, executed at management's pace, with targets as projections. Activist Consensus reflects the same strategy with specific metrics negotiated under Elliott's pressure, making every assumption a commitment. This is why the Activist scenario carries higher near-term margins yet a lower terminal multiple and implied price: external discipline can accelerate a turnaround, but it does not compound the way a genuinely rebuilt operating model does. The table below captures the key differences.

Variable/Scenario	As-Is	Management Initiatives	Activist Consensus
Revenue CAGR FY27–29	~2%	~6%	~6%
EBIT margin FY2029	10.5%	13.8%	14.6%
Gross margin FY2029	44.0%	45.5%	45.3%
DIO FY2029	90 days	83 days	85 days
Terminal g	2.6%	2.8%	2.7%
EV/EBITDA exit multiple	12.5x	13.5x	12.5x
Implied price (GGM)	**$45.68**	**$69.05**	**$67.31**
vs $52.4 current price	**–13%**	**+32%**	**+28%**

7. Conclusion

From a management perspective, the valuation analysis converges on a clear conclusion across two complementary methodologies. The DCF analysis establishes that Nike at $52.4 is priced above its fundamental value under a no-catalyst scenario ($45.68) but meaningfully below its value if the Win Now strategy is executed ($69.05). The comparable multiples analysis corroborates this range and sharpens it: the EV/EBITDA bear case ($46.17) aligns almost precisely with the As-Is DCF scenario, confirming that both approaches independently price Nike as a stalled turnaround when no recovery premium is applied.

The P/E-implied price of $72.07, our primary multiple, sits above the Management Initiatives DCF output of $69.05, suggesting that the market's current brand premium assumption is, if anything, slightly more optimistic than our own modelled recovery path. The EV/Sales ceiling of $107.08 remains a theoretical reference for what Nike could command as a fully scaled consumer platform, but it is not a near-term target.

Our recommendation is to support the Management Initiatives plan. The Activist Consensus scenario ($67.31) delivers marginally less value than a self-directed turnaround despite imposing higher execution risk and leaving less strategic flexibility. The Monte Carlo analysis reinforces this: the Management Initiatives scenario exceeds the current market price in approximately 75% of simulated outcomes, suggesting the upside is robust and does not depend on a narrow set of assumptions.

The priority is execution. The valuation gap between As-Is and Management Initiatives, $23 per share in DCF terms, and $26 in P/E terms, is entirely attributable to revenue recovery, margin restoration, and inventory discipline. All three are within management's control.